Convie Multivendor Marketplace BRD

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Executive summary

Convie will earn a commission on every order by running a multivendor marketplace for small African vendors. Buyers at home and in the diaspora can pay those vendors in their own currency. The business problem is that these vendors cannot reliably reach buyers outside their country: cross-border card payments fail, FX is opaque, and payouts are slow.

Convie solves this by being the merchant of record on licensed gateways (Paystack, Flutterwave and Stripe), splitting each payment between vendor and platform, and paying vendors locally. This BRD sets the business case, obligations and approvals. The companion PRD sets what the product does.

Decision requested: approve phases 0 and 1, Foundation and a Nigeria beta from Nov 2026 to Mar 2027, and the open decisions listed under sign-off.

Business objectives

ID	Objective	Measure	Target	By
BO-1	Build vendor supply	Active vendors (≥ 1 sale in 30 days)	300	6 months after GA
BO-2	Prove demand across borders	Share of GMV from buyers outside the vendor's country	≥ 25%	6 months after GA
BO-3	Reach transaction scale	Cumulative GMV	$250k	6 months after GA
BO-4	Earn a positive contribution margin per order	Take rate minus gateway fees, FX cost and refunds	≥ 4% of GMV	Phase 2 exit
BO-5	Earn vendor trust	Payouts on time	≥ 99%	From phase 1
BO-6	Keep financial and regulatory standing	Unresolved reconciliation breaks after 48 h; chargeback rate	0; < 0.5%	Always

Business scope

In scope

- Vendor recruitment, onboarding and KYC/KYB in Nigeria, Ghana and Kenya
- A marketplace for physical goods shipped by vendors
- Buyer payments in NGN, GHS, KES, GBP, EUR and USD
- Commission-based revenue, vendor payouts in local currency, refunds and disputes
- Finance operations: daily reconciliation, FX exposure reporting, tax collection where Convie is liable

Out of scope

- Convie-run warehousing or delivery
- Digital goods, services, regulated goods (alcohol, pharmaceuticals, weapons)
- Buyer wallets, credit, BNPL or crypto
- Vendors outside the three launch countries
- Holding a payment licence. Convie stays a merchant on licensed gateways.

Stakeholders

R = responsible, A = accountable, C = consulted, I = informed. Names are to be filled in. Today one person may hold several roles.

Decision area	Product owner	Engineering lead	Finance	Legal and compliance	Operations
Scope and priorities	A	C	C	C	C
Architecture and gateways	C	A	C	C	I
Commission, fees and pricing	A	I	R	C	I
Vendor KYC policy	C	C	I	A	R
Payout schedule and holds	C	C	A	C	R
Market entry (new country)	A	C	C	R	C
Production release	C	A	I	I	I

Business requirements

Each business requirement states an outcome the business needs. The PRD column names the product requirements that deliver it.

ID	Business requirement	Rationale	PRD trace
BR-01	A vendor in NG, GH or KE can start selling within 48 hours of applying, without staff contact	Supply growth (BO-1)	FR-03, FR-04, FR-06
BR-02	Only verified businesses or individuals receive money	AML and fraud exposure	FR-04, FR-05, FR-18
BR-03	A buyer pays in their home currency using a method they already use	Conversion and cross-border demand (BO-2)	FR-11, FR-12, FR-15
BR-04	One payment covers a basket from several vendors	Basket size and conversion	FR-10, FR-11, FR-13
BR-05	Convie's commission is deducted automatically and never relies on vendor remittance	Revenue assurance (BO-4)	FR-15, FR-19
BR-06	Vendors are paid in their local currency on a published schedule	Vendor trust (BO-5)	FR-18, FR-23
BR-07	Finance can prove where every unit of money is on any day	Audit, tax and gateway standing (BO-6)	FR-19, FR-20, NFR-09
BR-08	FX exposure is visible daily and capped	Margin protection (BO-4)	FR-07, FR-12
BR-09	Buyers can get a refund for undelivered or misdescribed goods	Consumer protection law, chargeback rate	FR-17, FR-21
BR-10	Personal and KYC data is handled lawfully in every market	NDPA, GDPR and peer laws	NFR-03, NFR-04
BR-11	A gateway outage in one market does not stop sales in that market	Revenue continuity	FR-15, NFR-05
BR-12	Operations can suspend a vendor, hold a payout or force a refund	Fraud response	FR-24

Revenue model and unit economics

Convie keeps about 5.8% of a domestic order and about 4.6% of a cross-border one, after gateway fees and a refund allowance. Both clear the 4% target in BO-4, but cross-border orders have the thinner margin.

Revenue lines: commission per order (default 8%, set per category), FX spread on cross-currency orders (default 1.5%), and later paid vendor placement (phase 3 or after).

Line, % of GMV	Domestic NG order (₦50,000)	Cross-border order (UK buyer, NG vendor)
Commission	+8.0% (₦4,000)	+8.0%
FX spread	0	+1.5%
Gateway fee (approximate)	−1.7% (₦850)	−3.9%
Refund and chargeback allowance	−0.5%	−1.0%
Contribution	**≈ 5.8%**	**≈ 4.6%**
Vendor receives	92% (₦46,000)	92% of base price, in NGN

Gateway fees are approximate figures from memory, not a quote: about 1.5% + ₦100 local, and about 3.9% for international cards. Finance must confirm current contracted rates before pricing is fixed. Delivery cost is paid by the buyer per vendor and is excluded.

Regulatory, tax and compliance

Convie must clear each market's data, consumer, tax and KYC obligations before taking money there. Legal review is the entry gate for every new country. The rates and laws below come from general knowledge and need counsel's confirmation.

Market	Data protection	Consumer protection	Indirect tax on Convie's fee or sales	KYC / AML basis
Nigeria	NDPA 2023, NDPC registration	FCCPA 2018 (FCCPC)	VAT 7.5%	CBN rules via the gateway; BVN or NIN for vendors
Ghana	Data Protection Act 2012	Consumer protection regulations	VAT plus levies	Ghana Card for vendors
Kenya	Data Protection Act 2019, ODPC registration	Consumer Protection Act 2012	VAT 16%	KRA PIN, national ID

Market	Data protection	Consumer protection	Indirect tax on Convie's fee or sales	KYC / AML basis
UK (buyers)	UK GDPR	Consumer Rights Act 2015, 14-day returns for distance sales	VAT 20% on low-value imports, collected by the marketplace	Gateway-led
EU (buyers)	GDPR	Consumer Rights Directive	VAT via IOSS for consignments up to €150	Gateway-led
US (buyers)	State privacy laws	FTC rules	State marketplace facilitator sales tax	Gateway-led

Obligations that shape the product: marketplace VAT collection for UK and EU buyers (PRD open question Q5), KYC before the first payout, buyer refund rights, and data residency checks for KYC documents.

Costs and investment

Infrastructure stays at or under about $355 a month through the Nigeria beta if all services share one managed MySQL cluster (a separate database each) and deploys run directly from the CLI rather than through paid CI. The bands below are estimates for DigitalOcean-class hosting, not quotes.

Cost item	Phase 0–1 (monthly)	Phase 2–3 (monthly)	Notes
Compute (staging and production)	$100–180	$250–500	Docker hosts; Kubernetes only past phase 2
Managed MySQL and Redis	$75–135	$150–300	One cluster, one database per service, daily backups
Object storage and CDN	$5–20	$20–50	Product images, KYC documents (encrypted)
Monitoring and logs	$0–20	$20–80	Self-hosted first
Infrastructure total	**$180–355**	**$440–930**	
KYC checks	per check	per check	Volume-priced by provider; to quote

Cost item	Phase 0–1 (monthly)	Phase 2–3 (monthly)	Notes
SMS and email	per message	per message	Volume-priced; to quote
Gateway fees	% of GMV	% of GMV	See unit economics

One-off costs to quote: legal review per market, data protection registrations, foreign entity setup if Stripe is chosen (PRD Q1), and a penetration test before GA.

Risks, assumptions, constraints and dependencies

Business risks

Risk	Impact on the business	Owner	Response
Naira volatility erodes margin on cross-currency orders	Margin below BO-4	Finance	Spread, short payout cycles, daily exposure cap
Too few vendors at launch, so buyers find thin catalogues	Misses BO-1 and BO-3	Product owner	Recruit 30 vendors in named categories before beta
Gateway suspends Convie for high disputes	Revenue stops in a market	Operations	Fallback gateway, vendor holds, chargeback monitoring
Tax liability as a marketplace facilitator in UK, EU or US	Unplanned cost	Finance	Hold diaspora buyers to phase 3 until VAT is set up
Small team spread across many services	Delays to the plan	Engineering lead	Merge low-traffic services; keep phase scope fixed

Assumptions

- Launch markets are Nigeria, Ghana and Kenya, with UK, EU and US buyers in phase 3.
- Convie is merchant of record and never holds a payment licence.
- Vendors ship their own goods.
- The current Laravel 13 microservices stack is kept. No stack change.

Constraints

- Nigerian entities cannot open Stripe accounts directly.
- Card data must stay outside Convie's systems (PCI SAQ-A).
- Infrastructure budget stays within the bands under costs and investment.

Dependencies

- Gateway merchant approval: Paystack, Flutterwave, and Stripe if chosen
- A KYC provider contract
- Legal opinion per market
- A decision on which product-service branch becomes the base

Approval and sign-off

Approval of this BRD releases phases 0 and 1. Each later phase needs its gate (see the PRD release plan) plus a fresh sign-off from Finance and Legal.

Role	Name	Decision	Date
Product owner	princezonik		
Engineering lead			
Finance			
Legal and compliance			
Operations			

Open decisions for sign-off

- [ ] Commission rate and who bears gateway fees (PRD Q4)
- [ ] Foreign entity for Stripe, or Flutterwave for all international cards (PRD Q1)
- [ ] VAT approach for UK and EU buyers (PRD Q5)
- [ ] Payout hold periods: 7 days standard, 14 days for new vendors